

Calendar Line 7

Case Name: *John Holder et al v. Matthew Westley et al.*

Case No.: 22CV405701

This is a motion for leave to amend the complaint to conform to proof at trial, or alternatively, for leave to file a first amended complaint (“FAC”). Plaintiffs John Holder, Jacqueline Beddingfield, Richard Holder, Robert Holder, Michael Holder, Robert Ramirez, and Roy Scialaba (collectively, “Plaintiffs”) seek to add a cause of action for fraudulent inducement against defendant Matthew Westley. The original complaint, filed on October 14, 2022, asserted only a single cause of action for breach of oral contract. Defendants Matthew Westley and WH Breakfast, Inc. (“WH Breakfast”) (collectively, “Defendants”) oppose the motion.

1. Procedural Background

This case was originally set for trial on April 29, 2024. On April 7, 2024, the court granted the parties’ joint ex parte application to continue the trial date (and all related deadlines), based on the recent service of the summons on defendant WH Breakfast, which had not yet responded to the complaint or otherwise appeared in the case. The court continued the trial to January 6, 2025.

Because of the lack of availability of a civil trial department in this court, the trial was unfortunately unable to go forward on January 6, 2025, and the trial date had to be reset again to July 28, 2025. That is the current trial date, between six and seven weeks from today.

2. Discussion

For the reasons that follow, the court denies the present motion.

Plaintiffs filed this motion on Friday, January 3, 2025, based on the assumption that the trial might begin on Monday, January 6, 2025. Because that did not happen, Plaintiffs’ request to amend the complaint “to conform to proof at trial” is not yet ripe. Without a trial and evidence, there is nothing to “conform to” yet. The court therefore denies that aspect of the motion without prejudice.

As for the request for leave to file an FAC *before* trial, the court finds that the motion is fatally flawed, both procedurally and on the merits.

First, under rule 3.1324(a) of the California Rules of Court, a motion to amend must: “(1) Include a copy of the proposed amendment or amended pleading . . . ; (2) State what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and (3) State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located.” Here, the January 3, 2025 notice of motion and motion describes the proposed amendments—specifically, the additions of text in paragraphs 9 and 32-37 of the pleading—and then states that “[a] true and correct copy of the First Amended Complaint is attached hereto as Exhibit A.” But no proposed FAC is actually attached to the motion. Without explanation, on May 14, 2025, Plaintiffs filed an “amended” notice of motion that repeats the description of the proposed amendments (the same paragraphs 9 and 32-37) but then attaches a proposed FAC that contains *totally different language* from

what is described in the notice of motion and motion. The only paragraph that is the same in both the notice of motion and the proposed FAC is paragraph 9 (describing WH Breakfast); paragraphs 32-37 in the notice of motion and in the proposed FAC do not match up at all; the proposed FAC contains 10 additional paragraphs (¶¶ 38-47) that are not listed anywhere in the notice of motion; and the quoted text in the notice of motion refers to various “Investments” in paragraphs 33 and 34 that appear nowhere in the text of the proposed FAC. None of this is explained in Plaintiffs’ supporting memorandum, and so the motion is impossibly ambiguous and inscrutable. As Defendants point out, “the ‘Investments’ are not identified or explained” (Opposition, p. 2:18), even though these alleged investments seem central to Plaintiffs’ claim of fraudulent inducement, as set forth in the notice of motion. Given the uncertainty inherent in the motion, which arises in large part from Plaintiffs’ failure to comply with rule 3.1324(a), the court must deny the motion.

Second, rule 3.1324(b) requires a supporting declaration that specifies: “(1) The effect of the amendment; (2) Why the amendment is necessary and proper; (3) When the facts giving rise to the amended allegations were discovered; and (4) The reasons why the request for amendment were not made earlier.” The declaration submitted by counsel fails to address (2), (3), and (4), which is yet another reason why this motion must be denied.

Third, Plaintiffs fail to provide an adequate explanation as to why they waited so long to request this amendment. Defendants note that Plaintiffs conducted the relevant discovery—including the deposition of Westley—nearly two years ago. It appears that all of the facts alleged in the FAC in support of a fraudulent inducement cause of action were already known to Plaintiffs in 2023. In fact, the alleged oral contract that forms the basis of the cause of action in the original complaint is itself the alleged “inducement” that Plaintiffs now contend was fraudulent.

Plaintiffs argue that their motion for leave to amend “was filed in response to Defendants’ amended answer,” which added an affirmative defense of lack of consideration for the oral contract (Reply, p. 1:20), but the court finds this argument to be unpersuasive. The court does not see how the fraudulent inducement cause of action has any bearing on whether there was consideration for the alleged oral contract in this case, and Plaintiffs do not elaborate. In fact, the argument appears to be logically backwards: in the FAC, Plaintiffs allege that Westley entered into an oral contract with them to induce them to enter into a written purchase agreement for the sale of their shares in WH Breakfast. In other words, the *oral contract* was allegedly part of the consideration for the *written stock purchase agreement*, not the other way around. The allegations in the FAC say nothing about whether there was consideration for the oral contract itself.

Moreover, as the court tried to explain in its December 19, 2024 order, even though the court was granting Defendants’ motion for leave to amend their answer at that time, such an amendment was unlikely “unnecessary,” because “it remain[ed] the Plaintiffs’ burden to prove the existence of an oral agreement,” *including the existence of consideration*. (See December 19, 2024 Order, p. 3:1-18.) Thus, the court’s December 19, 2024 ruling did not change Plaintiffs’ burden of proof in any way regarding the breach of contract cause of action, and it therefore cannot have created a basis for now seeking leave to amend the complaint to add a fraud cause of action. Plaintiffs’ opening memorandum and reply brief on this motion completely sidestep the court’s reasoning in the December 19 order.

Fourth, the court finds that the addition of a fraudulent inducement cause of action would fundamentally alter the nature of this case, making it a prejudicial change this close to the trial date. What was originally a contract action would suddenly become both a contract and tort cause of action, with completely different bases for damages, including punitive damages. (Plaintiffs' proposed FAC adds a prayer for punitive damages.) Although the court is not necessarily persuaded by Defendants' argument that they would need to retake all five depositions of the Plaintiffs, the court does find that additional discovery would be needed on Plaintiffs' new fraud theory, including the basis for any compensatory and punitive damages. Compensatory damages for fraudulent inducement could, for example, include *rescission* of the written stock purchase agreements, which is potentially a very different remedy from the compensatory damages that would be sought for a breach of an oral contract. And punitive damages are of course a completely different category of damages, as well.

In addition, Defendants argue that they might also have a challenge to the sufficiency of the pleading—particularly given that it would now encompass fraud allegations. Although the court is not certain that a demurrer would necessarily need to be brought to challenge the sufficiency of the pleading, the court does discern a possible basis for summary adjudication of the new cause of action, given that Plaintiffs' allegations are dependent on a finding that Westley intended to defraud them at the time of the stock purchases. The only evidence the Plaintiffs have submitted in support of the present motion indicates that Westley actually changed his position on the alleged oral agreement *after* he had “spoken with an attorney.” (Reply, p. 4:3-12 [quoting Deposition of John Holder].) In order for Defendants to have an adequate opportunity to bring such a motion, the July 2025 trial date would necessarily have to be reset a *fourth* time.

For all of these reasons, the court DENIES the motion for leave to amend. As noted above, this ruling has no impact on whether any amendment “to conform to proof at trial” might be made in the future.

It is so ordered.

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